BERNSTEIN
SOCIETE GENERALE GROUP

12 November 2026

U.S. IT Hardware

Apple Inc

Rating

Outperform

Price Target

AAPL **380.00 USD**


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Apple: The Safe Haven - but what's the right multiple?

AAPL is often un-loved and underweight but has been growing in appeal as a safe haven from higher flying / higher risk AI stocks. As a result of this perceived safe haven status, AAPL has benefited from the recent AI sell-off driving its PE to all-time high levels. This note addresses why this has happened, and more importantly what's the right multiple?

Why is AAPL the perceived Safe Haven in tech? At 2% of revenue, Apple's capex budget has hardly been impacted by AI as it has chosen to partner with Google for its Apple Foundation Models (AFMs) and as it rolls out its Siri AI, many of the AFMs run on-device and hence rely less on expensive AI servers. Apple is immune to both the risk of AI datacenter capex falling that plagues upstream stocks and the risk of collapsing free cash flow that hyperscalers are currently seeing. Furthermore, Apple could stand to benefit if/when the AI bubble actually bursts (e.g. from potentially cheap acquisition targets).

This Safe Haven status has driven Apple's multiples to all-time highs. Apple now trades at 37x CY27 cons. EPS (an all-time high) and 2x relative fwd P/E (also an all-time high). Among US-listed companies with a market cap >$200bn and fwd cons EPS growth <15%, only four trade above 30x fwd P/E: Costco (46x), Walmart (39x), Apple (37x) and GE (36x).

With little correlation to tech peers, Apple now trades in line with high quality consumer stocks. Apple trades in-line with consumer stocks on revenue growth; on earnings and FCF growth it sits modestly above the line. Apple at 37x screens cheaper than both Costco (46x) and Walmart (39x) despite having higher revenue growth, FCF generation and shareholder returns. Furthermore, Apple's 90% loyalty (every ~4years) on iPhone replacements compares favorably with Costco's 90% annual membership renewal.

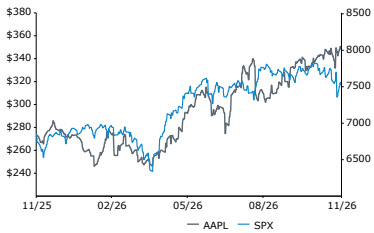
Is AAPL's multiple outrageous? Considering its customer loyalty, earnings durability, growth, FCF generation and shareholder returns, we don't think so. Our reverse DCF implies a terminal growth rate of 4%, which appears reasonable.

Close Date	10 Nov 2026
AAPL Close Price (USD)	348.51
Price Target (USD)	380.00
Upside/(Downside)	9%
52-Week Range	355.38/243.42
SPX	7,520.93
FYE	Sep
Div Yield	0.3%
Market Cap (USD) (B)	5,155.73
EV (USD) (B)	5,113.27

Performance	YTD	1M	6M	12M
Absolute (%)	30.5	5.4	21.2	28.9
SPX (%)	9.9	(3.7)	1.6	10.1
Relative (%)	20.6	9.1	19.6	18.8

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We rate Apple Outperform, TP $380 on 34x our FY28E EPS (vs. 37x current NTM fwd PE). We rate COST and WMT Outperform.

Adjusted EPS	F26A	F27E	F28E
AAPL (USD)	8.97	9.78	11.13

Financials	F26A	F27E	F28E	CAGR
Revenues (M)	478,834	541,740	580,224	10.1%
Gross Margin (%)	48.8	46.6	47.5	--
FCF (M)	136,056	159,394	173,454	12.9%

Valuation Metrics	F26A	F27E	F28E
Adjusted P/E (x)	38.8	35.6	31.3
EV/EBIT (x)	32.3	30.5	27.5
EV/FCF (x)	37.6	32.1	29.5

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

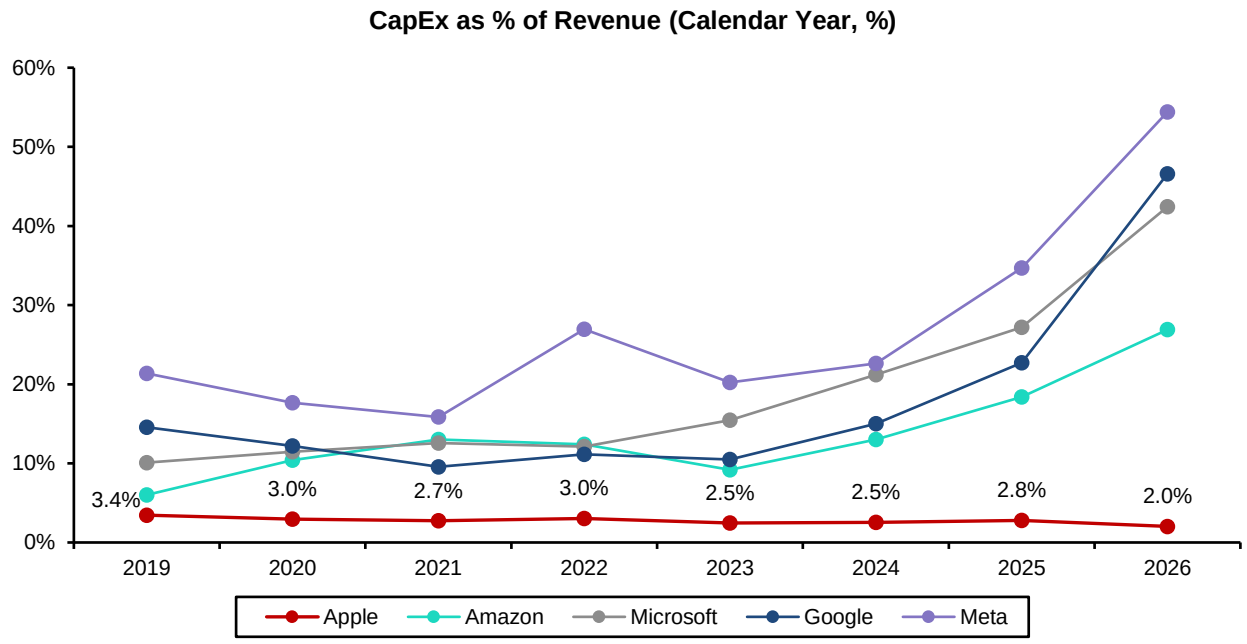
WHY IS AAPL THE PERCEIVED SAFE HAVEN IN TECH?

Apple's capex budget has hardly been impacted by AI as it has chosen to partner with Google's Gemini team for its Apple Foundation Models (AFMs) and as it rolls out its Siri AI, many of the AFMs run on-device and hence rely less on expensive AI servers. Apple is immune to both the risk of AI datacenter capex falling that plagues upstream stocks and the risk of collapsing free cash flow that hyperscalers are currently seeing.

While hyperscalers Capex has skyrocketed, Apple's capex has barely budged since 2019. In FY2019 Apple's capex was $10.5B and since then it has mostly been in the range of $9.5B to $11B before climbing to $12.7B in FY25 and then falling to just $9B in FY26. During this period Apple's capex intensity has fallen from 4% to just 1.9% of revenue, or from 3.4% to 2.0% using CY19-26. This compares to hyperscalers which have all seen their capex intensity rise from 6-11% in CY19 to 27-54% in CY26 (see Exhibit 1). In our view, ***Apple is therefore immune to the risk of AI datacenter capex falling that plagues upstream stocks*** (such as semiconductors, memory and other components) and is ***also immune to the collapsing free cash flow that hyperscalers are currently seeing***.

Furthermore, we think Apple could stand to benefit if/when the AI bubble actually bursts. Now whether we are in a bubble or not is a question that not everyone will agree on but a clear reason behind much of the recent AI stock sell-off (with some being down more than 50% from June peaks) is the worry that for various reasons AI datacenter capex will fall from here which could lead to some rather unpleasant outcomes for some companies with high leverage or high exposure to AI datacenters (or both!). Apple on the other hand is not only completely immune from these risks, in our view, but actually stands to benefit as there may be an opportunity to pick up some bargain acquisitions for cents on the dollar if (like in the after-math of the dot-com bubble) some companies face insolvency due to aforementioned risks. We are not taking a position here on if/when the bubble will burst, or which companies will succeed or fail, but rather we believe that Apple is not only immune to these concerns but actually stands to benefit if the worst case scenarios that people fear actually plays out.

EXHIBIT 1: **Apple vs Hyperscalers CapEx as % Revenue**



Source: Bloomberg, Bernstein analysis

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THIS SAFE HAVEN STATUS HAS DRIVEN AAPL'S MULTIPLES TO ALL-TIME HIGHS

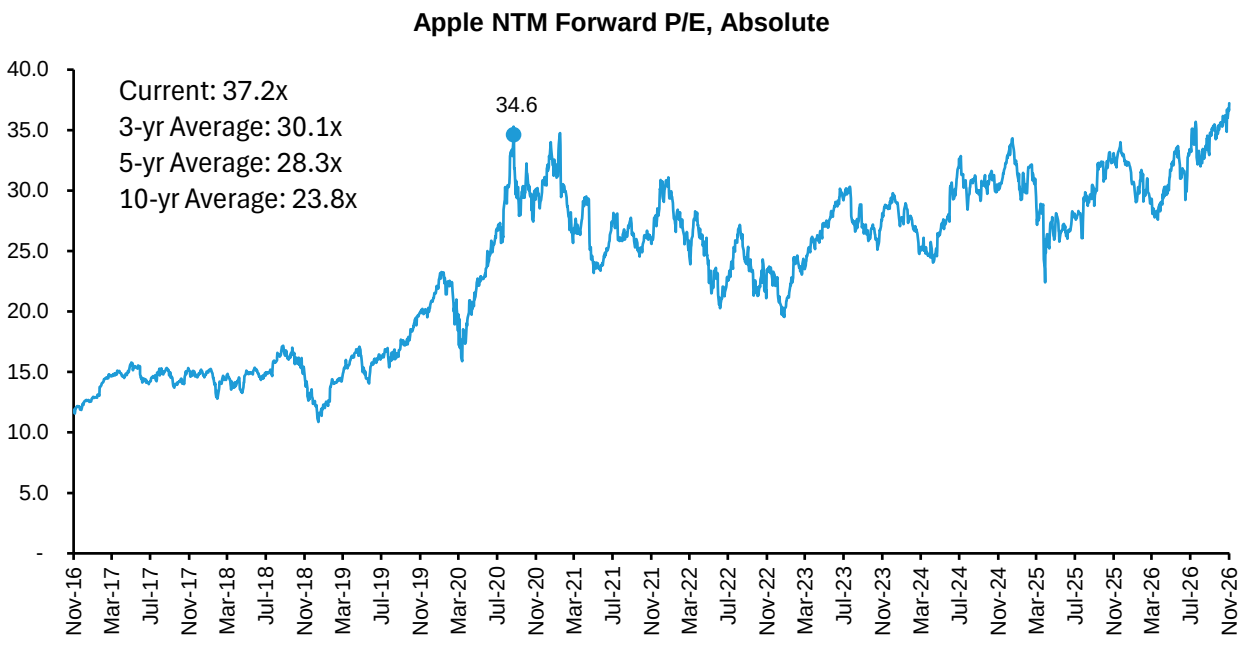
Apple currently trades at 37x calendar 2027 consensus earnings (an all-time high) and 2x on NTM fwd relative P/E (also an all-time high). Among US-listed companies with a market cap above $200bn, only four trade above 30x forward earnings with consensus EPS growth for the next three years at <15%: Costco (46x), Walmart (39x), Apple (37x) and General Electric (36x).

We think the market has for a long time reclassified Apple as a defensive compounder, that has decoupled from the broader tech sector. There are certain characteristics that appear to be shared by the four stocks in this group: defensive or replacement-driven demand, pricing power against at least one side of its value chain, sizable FCF and predictable cash return, and ***Apple screens more favorably than the others on several of them (e.g. 3.1% FCF yield, estimated buybacks at ~3% of market cap, and capex below 2% of revenue***, on calendar 2027). We expect this classification to carry the most value in a risk-off environment, when earnings durability and cash return become scarce in the tech world and tend to attract a premium.

Apple's current multiple implies high FCF growth. At 37x, the multiple is at the upper end of the range for Apple's growth rate, and is ranked at the top percentile during the past 10 years against its own trading history. Apple carries a 3.1% 2027 FCF yield (3.4% in 2028) and 31.7x EV/FCF on 2027. We expect buybacks to run at roughly 3% of market cap in 2027 and 3.2% in 2028, which, together with the 0.3% dividend gives a total cash return of about 3.3% -3.5% a year.

- **Looking at the past 10 years, Apple's absolute multiple is at the highest level in the company's history**: Apple traded at roughly 12–20x forward earnings through 2019, averaged about 24x over the past ten years and about 30x over the past three years.
- **Apple's relative multiple has moved further.** At ~18x for the S&P 500, Apple's 37x represents ***2.0x relative P/E***, a premium of ~100% to the market. For most of the 2010s the stock traded at or below the market multiple, and the premium has steadily risen since 2019 to its current all-time high.

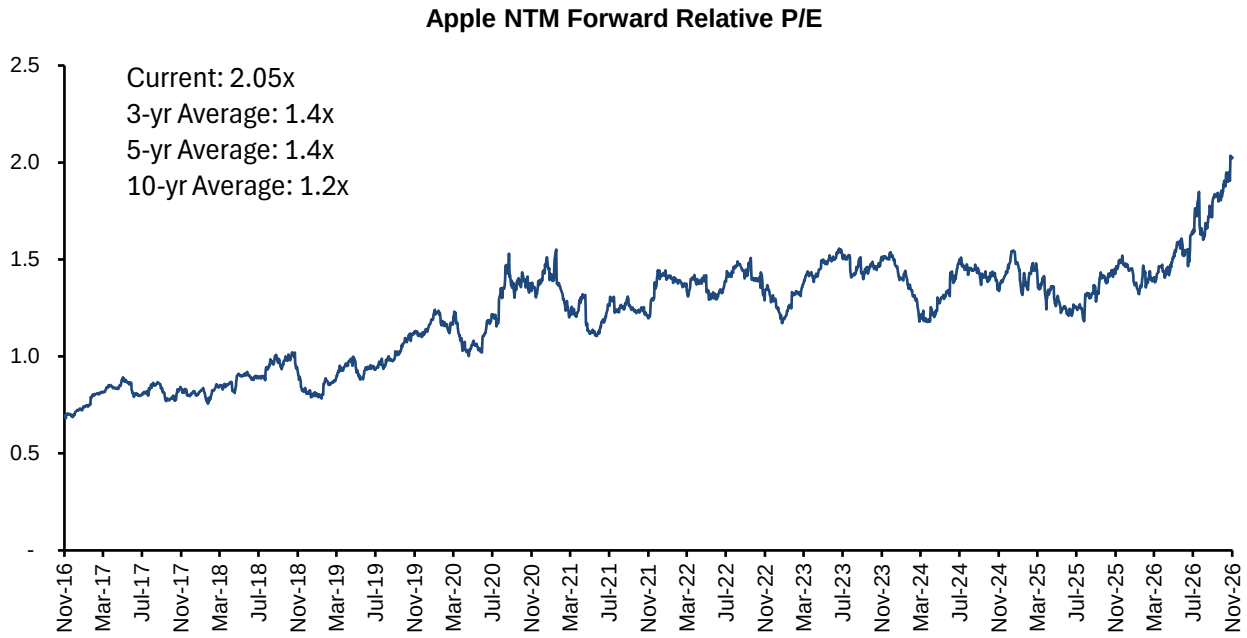
EXHIBIT 2: **Apple NTM forward P/E is back at all time highs of 36x not seen since 2020 (Covid era)...**



Market data as of 11/11/2026 mid-day
Source: Bloomberg, Bernstein analysis

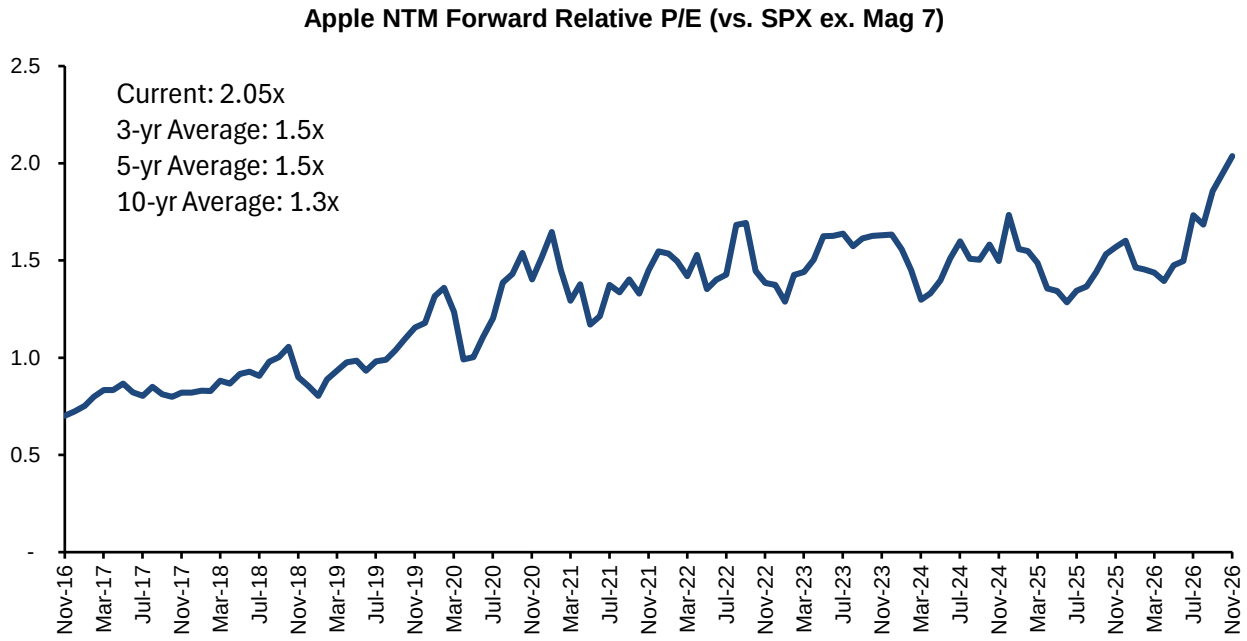
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EXHIBIT 3: **... but relative to the market, Apple's NTM fwd P/E is now at 2.0x vs. S&P500 (easily an all time high)**



Market data as of 11/11/2026 mid-day
Source: Bloomberg, Bernstein analysis

EXHIBIT 4: **Similarly, relative to SPX ex. Mag 7, Apple's NTM fwd P/E is also at historical high**



Market data as of 11/11/2026 mid-day
Source: Bloomberg, Bernstein analysis

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AAPL'S VALUATION HAS NO PEERS IN THE TECHNOLOGY SECTOR

Across large-cap tech companies, PE multiples almost have no relationship to revenue growth or earnings growth. Plotting 2027E PE against both metrics showed us that the relationship between growth and multiple is close to flat (Exhibit 6, Exhibit 7). Apple sits at the top of the range in both on a growth rate near the bottom of it.

- **Hyperscalers / AI capex:** The hyperscalers or AI capex players trade at 17–24x forward earnings, and three of the four are expected to generate negative or no free cash flow in 2027E due to heavy investment in data centers. Across the subsector, Apple's premium is associated with strong cash conversion and light capital intensity.
    - Google (19x on 2027E) and Meta (17x on 2027E) trade at roughly half Apple's multiple on higher consensus growth in both revenue and earnings, although similarly lag Apple on FCF yield.
    - Microsoft (24x on 2027E) is, in our view, the closest comparison to Apple on quality and scale. Apple trades roughly 13 turns higher than Microsoft on roughly half of the EPS growth (10% against 20% in between 2024-2029E), and at a FCF yield of 3.0% against 0.5%.
- **IT hardware:** Within the rest of our IT Hardware coverage, Dell, HPE, and the HDD players are similarly trading alongside the AI-infrastructure cycle, with consensus revenue growing at 11-37% CAGR 2026 through 2029 - mostly well above Apple's except for HPE - and they trade at 10–13x PE, with FCF yields at HSD%. The multiple gap of 24 turns or more shows that the market is pricing in a turn in the cycle, in our view. Apple as a hardware company, hasn't been put in the same camp as others in our coverage that are subject to component and spending cycle.
- **Consumer electronics:** Sony (19x), Xiaomi (25x) and Garmin (26x) are probably the closest product comparables to Apple, and they trade 11-18 turns below Apple, mostly due to Apple's stronger OS moat and robust market share gain against competitors.
- **Software:** Software is the subsector that's comparable to Apple's service revenue being recurring, high margin, asset light. This sub-sector trades at 14-25x (Oracle at14x, Salesforce at 14x, ServiceNow at 21x and SAP at 25x) on consensus 2027 EPS growing at 17-43% in the next 3 years, with FCF yields at MSD-HSD%. Apple trades above every name in the subsector on lower growth, with a FCF yield that sits in the lower half of the group's range.

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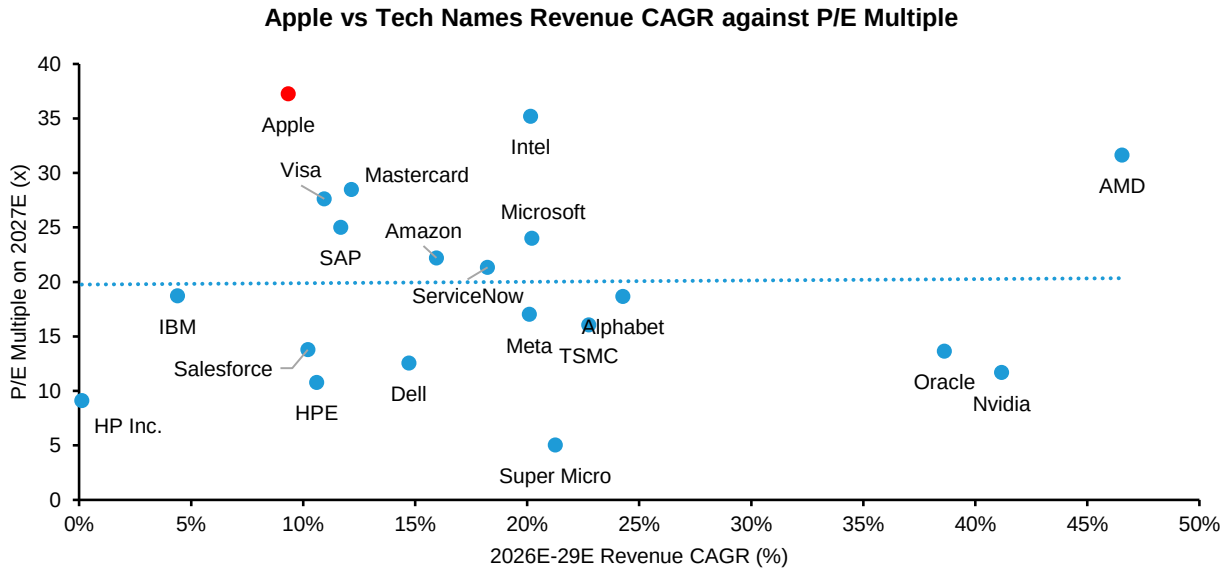
EXHIBIT 5: **Apple and Tech Names**

Tech	Market Cap ($B)	Share price ($)	PE		FCF Yield		Buyback as % of Mkt Cap	EV/FCF	Revenue CAGR		EPS CAGR	
			2027E	2028E	2027E	2028E	2027E	2027E	2023-26E	2026E-29E	2024-29E	2026E-29E
Hyperscalers / AI capex												
Alphabet	3,618	296	18.7x	14.8x	n.a.	n.a.	0.2%	n.a.	12%	24%	25%	10%
Amazon	2,882	267	22.2x	17.6x	n.a.	n.a.	0.0%	n.a.	13%	16%	25%	9%
Meta	1,661	640	17.0x	14.0x	n.a.	n.a.	0.0%	n.a.	24%	20%	18%	19%
Microsoft	3,878	522	24.0x	20.0x	0.6%	1.3%	0.5%	n.a.	17%	20%	20%	20%
Wtd Avg			**21.0x**	**17.0x**				**n.a.**				
Semis												
TSMC	1,890	73	16.1x	12.7x	3.9%	4.8%	0.0%	23.6x	37%	23%	35%	22%
Nvidia	4,274	177	11.7x	8.3x	7.5%	11.5%	0.0%	13.0x	91%	41%	55%	43%
AMD	925	564	31.6x	21.5x	2.1%	3.9%	0.0%	47.6x	32%	47%	91%	66%
Intel	337	63	35.2x	21.4x	n.a.	1.7%	0.0%	n.a.	5%	20%	n.a.	56%
Wtd Avg			**16.4x**	**11.7x**				**20.4x**				
Software												
Oracle	405	130	13.7x	9.3x	n.a.	0.9%	0.0%	n.a.	15%	39%	34%	43%
Salesforce	179	217	13.8x	11.9x	9.0%	10.2%	0.0%	14.4x	10%	10%	26%	25%
ServiceNow	106	102	21.3x	17.5x	6.6%	7.9%	1.0%	15.8x	22%	18%	38%	22%
SAP	259	211	25.0x	21.1x	4.9%	5.7%	1.6%	20.3x	9%	12%	19%	17%
Wtd Avg			**17.6x**	**13.9x**				**17.5x**				
IT hardware												
Dell	244	384	12.5x	11.3x	7.6%	9.3%	0.0%	15.6x	28%	15%	42%	19%
HP Inc.	27	29	9.1x	8.2x	12.5%	11.9%	4.5%	11.3x	4%	0%	5%	9%
HPE	68	52	10.8x	9.1x	7.9%	10.6%	0.0%	16.8x	20%	11%	26%	22%
IBM	234	248	18.7x	17.1x	7.4%	7.9%	0.0%	19.0x	4%	4%	5%	6%
Super Micro	20	31	5.0x	4.2x	6.2%	n.a.	0.0%	22.6x	88%	21%	23%	4%
Seagate	130	565	10.5x	7.2x	7.8%	12.1%	2.1%	13.1x	35%	37%	88%	58%
Western Digital	119	318	9.7x	6.8x	8.2%	12.7%	3.7%	12.0x	14%	35%	68%	40%
Sandisk	143	1,006	3.8x	3.5x	26.2%	24.9%	0.0%	3.6x	86%	5%	n.a.	-3%
Wtd Avg			**11.8x**	**10.1x**				**14.0x**				
Consumer electronics/auto												
Samsung	901	154	2.7x	2.3x	33.4%	35.2%	4.0%	2.6x	41%	20%	71%	15%
Sony	157	26	19.1x	18.1x	5.0%	5.6%	1.7%	20.3x	2%	3%	12%	0%
Xiaomi	99	4	24.7x	19.5x	4.6%	6.2%	0.0%	21.7x	17%	16%	17%	27%
Garmin	57	295	25.8x	23.7x	3.2%	3.3%	0.0%	32.0x	16%	8%	13%	8%
Tesla	1,555	393	178.7x	120.6x	n.a.	n.a.	0.5%	n.a.	3%	20%	20%	47%
Wtd Avg ex. TSLA			**7.7x**	**6.8x**				**7.8x**				
Apple	**5,161**	**355**	**37.2x**	**32.8x**	**3.0%**	**3.4%**	**2.9%**	**32.8x**	**8%**	**9%**	**10%**	**8%**

Market data as of 11/11/2026 mid-day; all above companies are covered by Bernstein except for Tesla, SAP and Garmin
Source: Bloomberg, Bernstein analysis

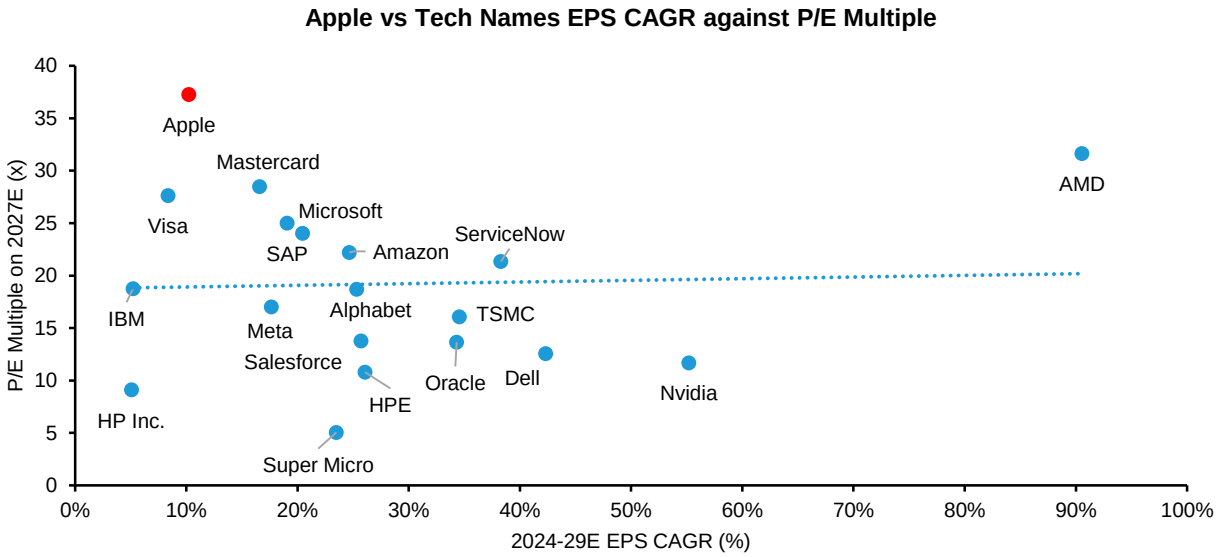
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EXHIBIT 6: **Apple vs Tech Names: Revenue CAGR against P/E**



Source: Bloomberg, Bernstein analysis

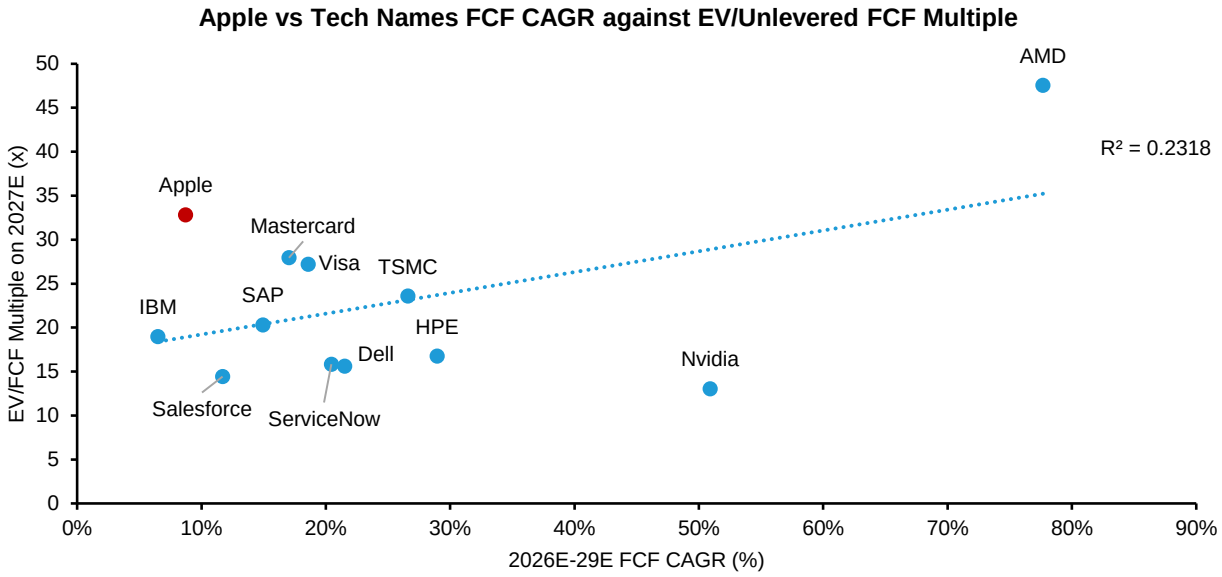
EXHIBIT 7: **Apple vs Tech Names: EPS CAGR against P/E**



Source: Bloomberg, Bernstein analysis

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EXHIBIT 8: **Apple vs Tech Names: FCF CAGR against EV/FCF**



Unlevered FCF calculated as headline levered FCF adding back net interest expense. Apple's FCF CAGR of 9% is slightly depressed due to short term margin headwinds and compares to 12% FCF CAGR (2024-29E cons)
Source: Bloomberg, Bernstein analysis

RELATIVE TO CONSUMER: APPLE IN LINE WITH THE MOST EXPENSIVE ONES

As opposed to the tech group, Apple trades more similarly to the consumer group. Across staples, scale retail, luxury and brands & franchises, P/E rises with growth, with a positive relationship on revenue, earnings and FCF growth (Exhibit 10, Exhibit 11, Exhibit 12). On forward revenue growth metric, Apple is now the fastest growing company if put in the consumer universe and trades in-line with the rest of its peers on a revenue growth adjusted basis; on earnings and FCF growth it sits modestly above the line, alongside Ferrari and the scale retailers.

- **Scale retail:** Costco (46x) and Walmart (39x) are the two US mega cap retailers trading above 30x on sub-15% earnings growth. Apple trades 2-9 turns below both. Costco and Walmart are slightly lower on consensus revenue growths in the next 3 years than Apple (7% and 5% respectively vs 9% for Apple), while EPS growths in the next years for the retailers are higher than that of Apple (Costco at 10% and Walmart at 13% vs. Apple at 8%) driven by the retailers' margin expansion trajectories. However, Apple wins on FCF generation and shareholder returns: with 3.0% FCF yield and ~3% buybacks, Apple is expected to return almost all of its FCF to shareholders through buybacks and dividends.

  - Costco carries the highest multiple of the three partly due to its highly visible earnings stream, in our view, a fee-based membership, combined with steady volume growth. We also believe that Costco's valuation is supported by the longevity of its growth runway, given white space opportunities across many international markets (Exhibit 13). We see some similarities with Apple's business model in both cases. Apple trades lower than Costco's valuation primarily driven by its "semi-tech" nature: cyclical revenue based on iPhone replacement and constant innovation burden to prevent being obsolete.

  - Walmart, on the other hand, is trading at an artificially inflated valuation as it is reaping the benefit of its omni-channel investments and not yet at its mature stage earnings power. We see a few years of outsized earnings growth ahead, supported by strong growth of high margin retail media revenue and core e-commerce loss reduction. Adding the present value of such incremental earnings power to NTM consensus EPS, WMT would be trading at a <30x multiple (adjusted for this) against its mature stage earnings power (Exhibit 14-Exhibit 15).

- **Luxury**: Ferrari (38x) and Hermès (28x) are the two consumer companies whose forward three-year consensus EPS growth is closest to Apple's (approximately 9.0% for both, versus 8% for Apple). Apple's multiple sits between the two, with an FCF yield similar to Hermès (3.5%) and higher than Ferrari's (2.6%). We believe the multiples commanded by these companies

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reflect their pricing power, supported by unique and scarce products (e.g., Ferrari's personalization and customization offerings and the scarcity of Hermès handbags, which reinforces customer exclusivity). The luxury subsector's weighted-average multiple of 23.5x, including LVMH (17x) and Richemont (22x), remains well below Apple's. We believe the dispersion in luxury valuations suggests that the premium is driven by franchise-specific characteristics rather than by the category as a whole.

- **Staples:** We looked at the subsector of Beverages and HPC. Coca-Cola (27.5x) and PepsiCo (16.5x) carry lower revenue and earnings growth (LSD%). Apple trades 10-20 turns above them on ~5 ppt higher earnings growth and a modestly lower FCF yield (KO: 3.4% and PEP: 5.5%). Apple looks fully valued in this comparison. The premium, in our view, reflects much faster revenue growth of Apple and a cash return weighted to buybacks.

- **Brands & franchises**: McDonald's (20x), Nike (28x), Starbucks (33x) and Lululemon (13x) average ~25x on a weighted basis and are included in the comp set given similarly strong consumer brands and are well understood as having high franchise quality. Starbucks is the only name in the subsector trading above 30x, and similarly contended due to it pricing in traffic growth as the higher-quality long term growth driver rather than price, and the market remains hopeful for its execution. Apple trades above Starbucks on lower forward EPS growth but a comparable FCF yield (3.0% against 3.4% for SBUX).

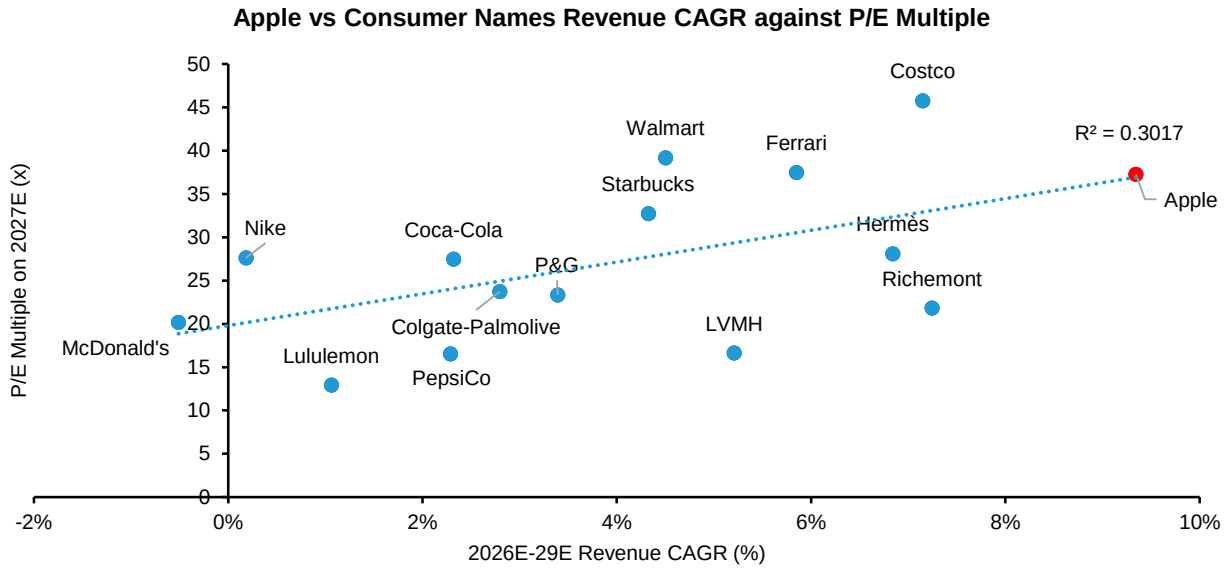
EXHIBIT 9: **Apple and Consumer Names**

Consumer	Market Cap ($B)	Share price ($)	PE		FCF Yield		Buyback as % of Market cap	EV/FCF	Revenue CAGR		EPS CAGR	
			2027E	2028E	2027E	2028E	2027E	2027E	2023-26E	2026E-29E	2024-29E	2026E-29E
Staples — beverages & HPC												
Coca-Cola	416	97	27.5x	25.6x	3.4%	3.6%	0.7%	30.0x	3%	2%	7%	7%
PepsiCo	193	142	16.5x	15.8x	5.5%	5.7%	0.8%	20.0x	3%	2%	2%	4%
P&G	387	167	23.3x	21.8x	4.1%	4.3%	1.5%	24.5x	2%	3%	1%	8%
Colgate-Palmolive	77	97	23.7x	22.1x	4.5%	4.8%	1.9%	22.3x	3%	3%	5%	6%
Unilever	141	65	1439.2x	1351.3x	5.4%	5.6%	0.0%	21.0x	-4%	3%	5%	6%
Wtd Avg ex. Unilever			**23.7x**	**22.2x**				**25.6x**				
Scale retail												
Costco	477	1,076	45.7x	42.3x	1.9%	1.9%	0.2%	55.4x	9%	7%	11%	10%
Walmart	989	125	39.2x	35.1x	1.6%	1.9%	0.8%	57.2x	5%	5%	10%	12%
Wtd Avg			**41.3x**	**37.4x**				**56.6x**				
Luxury												
Hermès	159	1,501	28.1x	25.8x	3.5%	4.0%	0.0%	28.0x	7%	7%	5%	9%
LVMH	221	447	16.7x	15.2x	6.1%	6.6%	0.8%	18.3x	-2%	5%	3%	11%
Ferrari	73	416	37.5x	34.6x	2.6%	2.9%	0.0%	39.2x	9%	6%	9%	9%
Richemont	125	211	21.8x	21.0x	4.2%	1.6%	0.0%	22.2x	6%	7%	10%	12%
Wtd Avg			**23.5x**	**21.8x**				**24.4x**				
Brands & franchises												
McDonald's	195	277	20.1x	19.0x	4.3%	4.5%	1.3%	24.4x	3%	-1%	5%	6%
Nike	57	38	27.6x	21.9x	5.3%	5.6%	1.1%	20.1x	-5%	0%	-9%	14%
Starbucks	124	109	32.7x	27.6x	3.4%	3.5%	0.0%	30.5x	1%	4%	7%	12%
Lululemon	12	109	12.9x	12.0x	6.4%	6.7%	0.0%	17.4x	4%	1%	-5%	4%
Wtd Avg			**25.0x**	**22.0x**				**25.5x**				
Apple	**5,161**	**355**	**37.2x**	**32.8x**	**3.0%**	**3.4%**	**2.9%**	**33.7x**	**8%**	**9%**	**10%**	**8%**

Market data as of 11/11/2026 mid-day; all above companies are covered by Bernstein
Source: Bloomberg, Bernstein analysis

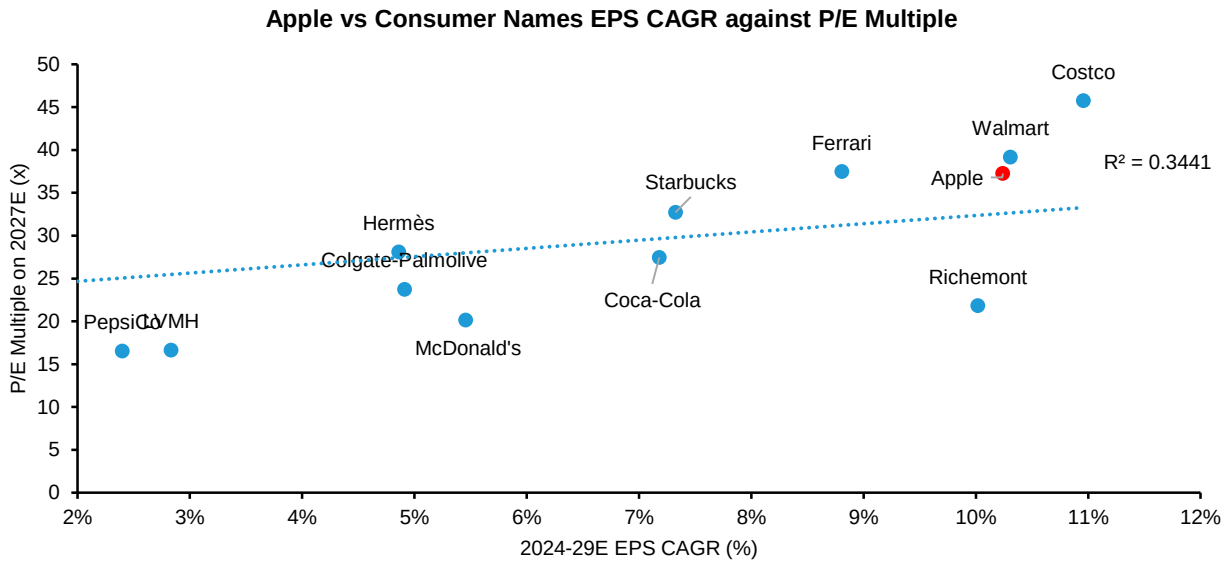
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EXHIBIT 10: **Apple vs Consumer Names: Revenue CAGR against P/E**



Source: Bloomberg, Bernstein analysis

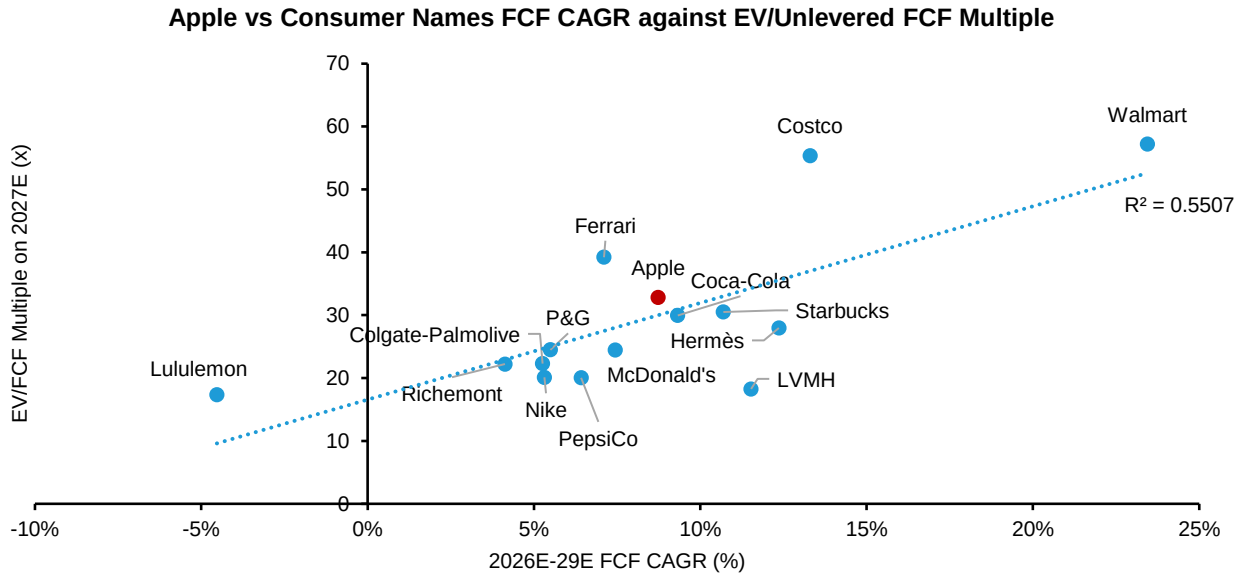
EXHIBIT 11: **Apple vs Consumer Names: EPS CAGR against P/E**



Source: Bloomberg, Bernstein analysis

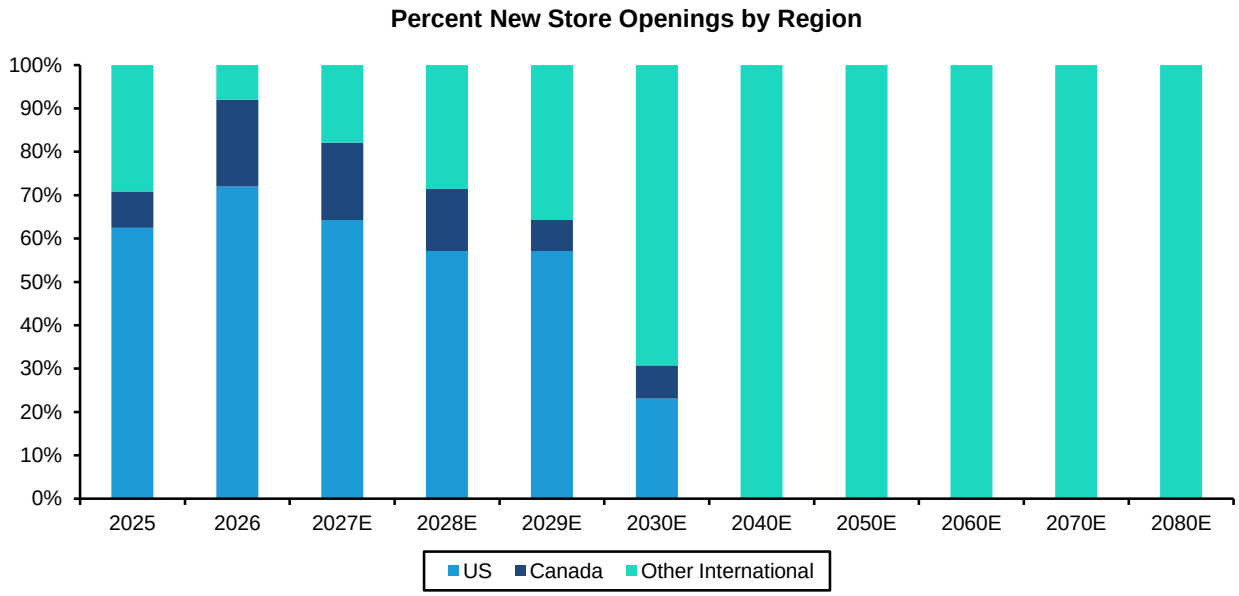
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EXHIBIT 12: **Apple vs Consumer Names: FCF CAGR against EV/FCF**



Unlevered FCF calculated as headline levered FCF adding back net interest expense
Source: Bloomberg, Bernstein analysis

EXHIBIT 13: **We see a multi-decade growth runway for Costco, led by international white space opportunities.**



Source: Company filings, Bernstein analysis and estimates

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EXHIBIT 14: **Walmart, on the other hand, is at a profitability improvement inflection point.**

WMT US FY26

	Sales Mix	EBIT Margin
B&M	79.4%	7.0%
E-comm	20.6%	-1.6%
Total	**100.0%**	**5.2%**

WMT US FY30

	Sales Mix	EBIT Margin
B&M	70.0%	7.2%
E-comm	30.0%	6.7%
Total	**100.0%**	**7.0%**

Source: Company filings, Bernstein analysis and estimates

EXHIBIT 15: **WMT is not nearly as expensive as it looks on paper after incorporating the PV of its incremental earnings power in the coming years.**

Contribution from FY26-FY30E EBIT Growth	
Incremental B&M EBIT Contribution ($M)	3,000
Incremental E-comm EBIT Contribution ($M)	13,455
Implied EPS Contribution ($)	1.64
NPV of Implied EPS Contribution ($)	1.25

	Current	"True" Earnings Power
NTM Consensus EPS	$3.00	$ 4.25
NTM P/E	41.9x	29.6x

Source: Company filings, Bloomberg, Bernstein analysis and estimates

WHY WE THINK THE MARKET PAYS THIS MULTIPLE

This note is not an argument that Apple screens cheap, and it's not a case for a higher multiple. At 37x forward earnings, Apple stock trades at the top of its own history and above most companies in the market with a comparable growth rate. Instead of thinking the next leg of return comes from re-rating, the purpose of this note is to help investors understand where Apple now sits relative to the groups it's usually compared with - technology, hardware, and consumer. Apple had a strong run amid the backdrop of CEO change, rising memory costs compressing margins, and AI trade sell-off. The market has long decoupled Apple from the rest of the mega-cap tech names and reclassified Apple to a consumer compounder. In this note we present data that supports this reclassification.

Apple shares many characteristics with a consumer staples stock: product demand that is largely recurring or replacement-driven, making it visible a year (or more) in advance; pricing power with both suppliers and consumers; low capital intensity, allowing growth with limited incremental investment; and sizable, recurring cash returns to shareholders. Together, these characteristics drive earnings durability.

- **Visible demand:** Apple's revenue base is predominantly replacement-driven demand from a large installed base (roughly 1.4bn active iPhone devices) renewing on a cycle of about four years, with a recurring service revenue (~26% of total FY26 revenue, ~40% of gross profits) attached on top. The combination gives the stock forward visibility in revenue and earnings, albeit facing margin pressure recently. iPhone demand is supported by high customer retention rates.

  - **iPhone brand loyalty is arguably higher than Costco's membership renewal rate when adjusted for the length of the replacement cycle.** In our 2025 smartphone survey, iPhone posted the highest retention rate among major brands at 90% when comparing respondents' current phones to their previous devices (Exhibit 16). Interestingly, Costco has a membership renewal rate at 92.3% in the US and Canada as of the past quarter and 89.8% worldwide. iPhone's replacement cycle is typically 3-4 years, and on an annualized basis, Apple retains approximately 96%-97% of its installed base (Exhibit 17). Costco's membership renewal rate, however, offers greater visibility and certainty due to its fixed renewal schedule and lower dollar amount.

- **Pricing power:** The iPhone exhibits one of the lowest levels of price sensitivity among major smartphone brands, which is a key reason why the iPhone has continued to gain market share. The iPhone 18 Pro series was launched this September, and Apple raised US Pro-tier pricing by $100 at the entry storage tiers and by $300–500 at the high-storage tiers. As we indicated here, on a like-for-like basis, the new iPhone models show robust underlying strength, with unit volumes growing approximately 6% YoY in FQ4'26. The LfL increase on the Pro series indicates volumes in line with a normal cycle. **Our refreshed iPhone price elasticity analysis indicates that iPhone price elasticity had fallen to approximately 1.3 by the end of September** (Exhibit 18), **compared with more than 2.5 for other smartphone vendors.**

- **Consistent shareholder return:** Apple returned roughly $102bn through buybacks and dividends in FY26 (buybacks ~ $86bn, dividends ~$16bn), equivalent to approximately 2% of Apple's market cap. We believe Apple can buy back another 3.0% of market cap in fiscal 2027E and 3.3% in fiscal 2028E. Apple has a strong net cash position of ~$57bn against FCF of $136bn at fiscal 2026 year-end, supporting a consistent shareholder return program.

- **Strong earnings track record**: Apple's track record relative to consensus estimates is one of the most consistent among large companies. **Over the last 10 years since Q1 FY16, Apple reported EPS above sell-side consensus in 40**

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quarters, met consensus in 2 and fell short in only 2 quarters (FQ2'16 and FQ1'23, by 5% and 3%, respectively, Exhibit 19). The average surprise over the period was roughly 6%. We would not interpret a long history of earnings beats as evidence of a durable business moat, but it does signify to us management credibility and the steady contribution from share repurchases to EPS growth. Part of Apple's premium multiple reflects the rarity of negative earnings surprises.

WHAT THE MULTIPLE IS PRICING IN

- **Is the current valuation outrageous?** We don't think so. As the safe haven, even at this scale (company with the biggest market cap globally), Apple consistently generates >100% FCF conversion, offers attractive capital return through buybacks and dividends, and demonstrates high brand loyalty: 90% of iPhone users replace with another iPhone, which on an annualized basis represents higher retention rate than Costco membership renewals the market pays 40x for. Last but not least, in the last 10 years, Apple only missed earnings 3 times.

- **A reverse DCF** using our estimated 9.8% cost of capital suggests that, to support Apple's current enterprise value, FCFF must grow at approximately 10% annually for the 17 years from 2030E through 2046E, beyond our model's explicit forecast time horizon, followed by **4% perpetual growth** thereafter (Exhibit 20, Exhibit 21). This path takes annual FCFF from ~107bn in fiscal 2026 to roughly $871bn in fiscal 2046, more than 7x. For context, Apple compounded FCF to firm at roughly 9.4% from fiscal 2019-2026, and our model implies a free cash flow CAGR at 17% from 2026-29E.

EXHIBIT 16: **Brand of Current Phone vs Previous Phone Weighted**

		Current Brand							
	Weighted	**Apple**	**Samsung**	**Pixel**	**Huawei**	**Oppo**	**Vivo / Xiaomi / Lenovo**	**Other**	**Don't know**
Previous Brand	iPhone	90%	24%	14%	21%	13%	14%	2%	2%
	Samsung	41%	82%	30%	7%	11%	17%	3%	3%
	Google Pixel	39%	49%	79%	0%	36%	47%	7%	4%
	Huawei	24%	33%	3%	90%	18%	25%	0%	1%
	OPPO	23%	21%	6%	51%	67%	31%	0%	1%
	Vivo / Lenovo	46%	36%	12%	19%	31%	59%	3%	0%
	Xiaomi	22%	34%	9%	41%	24%	59%	2%	3%
	Other	20%	41%	12%	3%	6%	9%	31%	13%
	Don't know	0%	43%	0%	13%	0%	9%	9%	53%
	Other OS	0%	0%	0%	74%	0%	0%	0%	26%

Source: Bernstein 2025 Smartphone Survey

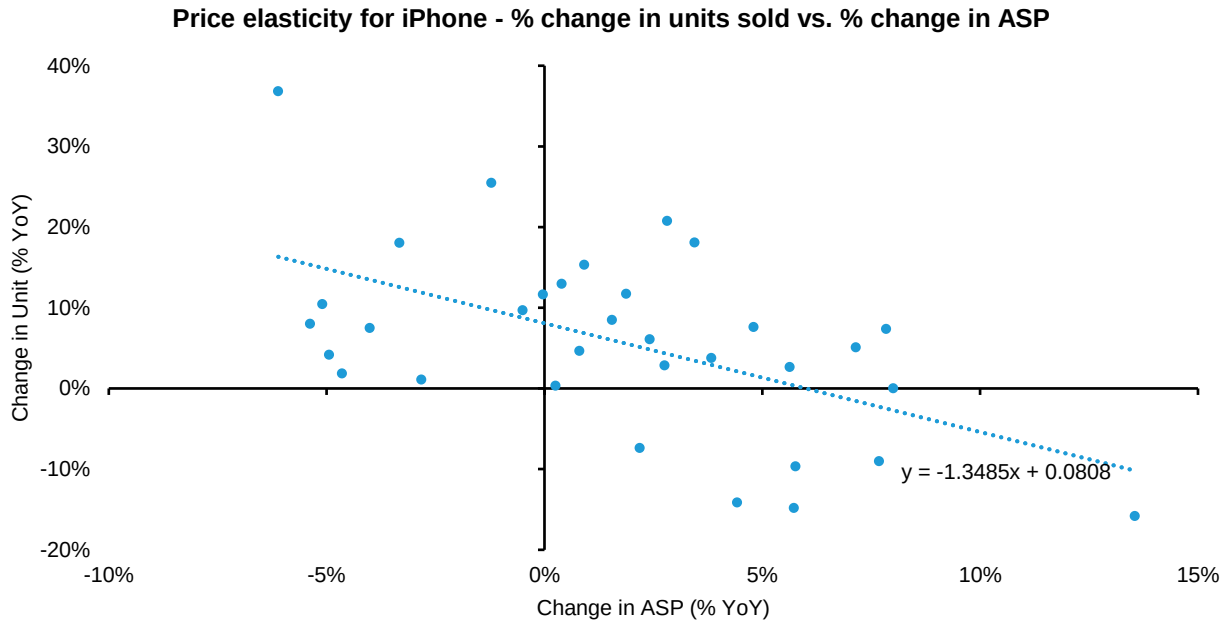
EXHIBIT 17: **Apple's iPhone installed base loyalty compares favorably to Costco's membership renewal**

	Retention per Decision	Decision Interval	Annualized Renewal Rate
Apple - iPhone	90.0%	3-4 years	96.5% - 97.4%
Costco Membership - US & Canada	92.3%	1 year	92.30%
Costco Membership - worldwide	89.8%	1 year	89.80%

Source: Company reports, Bernstein's proprietary smartphone survey, Bernstein analysis

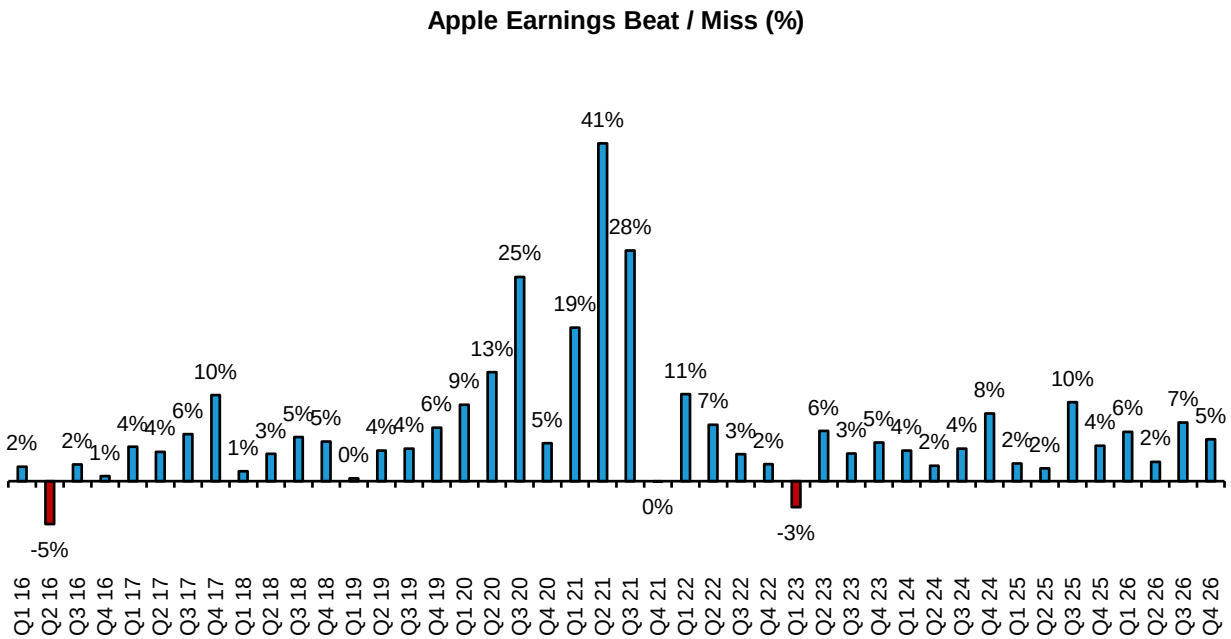
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EXHIBIT 18: **iPhone has a price elasticity of roughly 1.3 vs other smartphones at ~2.5 on average**



Source: Counterpoint, Bernstein analysis

EXHIBIT 19: **Apple Reported Earnings vs Consensus**



Source: Bloomberg, Bernstein analysis

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EXHIBIT 20: **Apple Implied Market Cap from Free Cash Flow to Firm Scenarios**

(Mkt Cap, $bn)

# of years at 10% growth	Terminal Growth Rate				
	3.0%	3.5%	4.0%	4.5%	5.0%
5	3,068	3,234	3,429	3,661	3,941
7	3,337	3,504	3,699	3,931	4,213
12	4,012	4,181	4,378	4,612	4,896
17	4,693	4,863	5,063	5,297	5,584

Market data as of 11/11/2026 mid-day
Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 21: **Apple Implied per-share Price from Free Cash Flow to Firm Scenarios**

(per share price)

# of years at 10% growth	Terminal Growth Rate				
	3.0%	3.5%	4.0%	4.5%	5.0%
5	$ 211.1	$ 222.5	$ 236.0	$ 251.9	$ 271.2
7	$ 229.6	$ 241.1	$ 254.5	$ 270.5	$ 289.9
12	$ 276.1	$ 287.7	$ 301.2	$ 317.3	$ 336.9
17	$ 323.0	$ 334.6	$ 348.4	$ 364.5	$ 384.2

Market data as of 11/11/2026 mid-day
Source: Bloomberg, Bernstein estimates and analysis

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BERNSTEIN TICKER TABLE

			10 Nov 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
AAPL (Apple)	O	USD	348.51	380.00	18.8%	USD	8.97	9.78	11.13	38.8	35.6	31.3
WMT (Walmart)	O	USD	125.55	142.00	10.4%	USD	2.64	2.95	3.38	47.6	42.6	37.1
COST (Costco)	O	USD	1,066.14	1,155.00	7.8%	USD	20.76	23.56	25.37	51.4	45.2	42.0
SPX			7,520.93									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Apple Inc

We rate Apple Outperform. Our TP of $380 is based on 34x FY28E EPS

Walmart Inc

We set a $142 target price using a P/E multiple of 38.8x against our forward Q5-Q8 EPS estimate of $3.66.

Costco Wholesale Corp

We set a $1,155 target price using a P/E multiple of 45.5x against our forward Q5-Q8 EPS estimate of $25.37.

RISKS

Apple Inc

The biggest risks to the downside on Apple and to our price target are that: 1) Apple falls too far behind in Gen AI, and ultimately sees its ecosystem disrupted by AI native competitors; 2) Emergence of new form factors cause the smartphone to decline in relevance, eroding Apple’s moat and ecosystem as a consequence; 3) Escalation in US-China tensions disrupts Apple’s access to both supply and demand from China and 4) Regulatory challenges prevent Apple from effectively monetizing its ecosystem, cutting off high margin revenues streams - although this risk is significantly mitigated by the fact that the most important challenge (the Google DOJ case) has largely passed

Walmart Inc

Our WMT price target is subject to several macroeconomic and company-specific risks. Downside risks include:

- An unexpected softening of the consumer environment in the US or in large international markets could result in weaker comps and expense deleverage.
- Walmart could fail in new business ventures, including e-commerce and advertising, which would threaten its ability to achieve long-term revenue and margin targets.
- Increased regulatory scrutiny in the US given Walmart’s leading position in US grocery.

Costco Wholesale Corp

Our COST price target is subject to several macroeconomic and company-specific risks. Downside risks include:

- An unexpected softening of the consumer environment in the US or in large international markets could result in weaker comps and expense deleverage.

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- Costco could fail to achieve new store growth targets in the US and internationally, which could hurt member acquisition and sales growth.

- Costco could fail to achieve historical levels of member retention rates and/or member upgrade rates, which could reduce the company's overall profitability.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp

- Market-Perform: Stock will perform in line with the market index to within +/-15 pp

- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp

- Neutral (N): Stock will perform in line with the market index to within +/-10 pp

- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

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on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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Autonomous brand – preferred stocks

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

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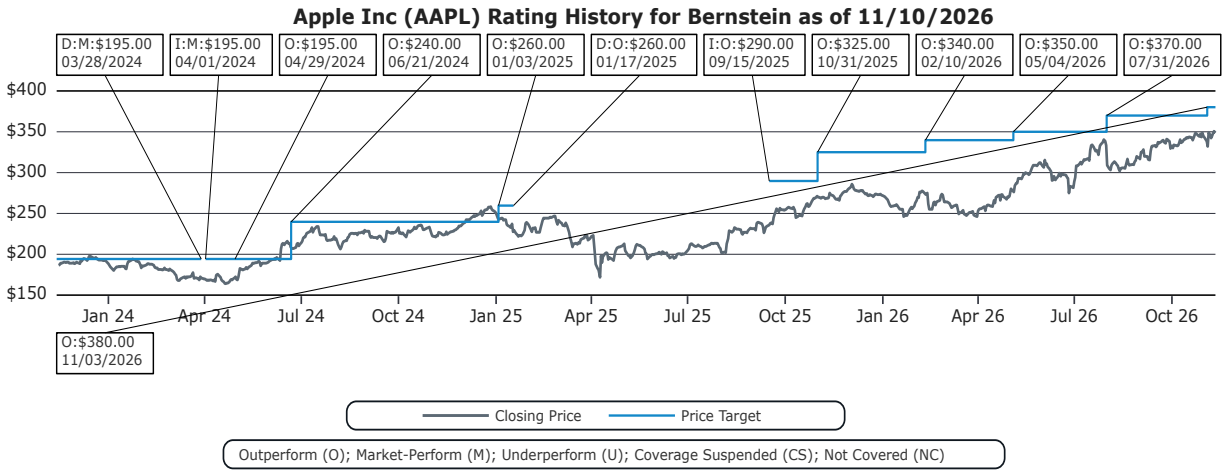
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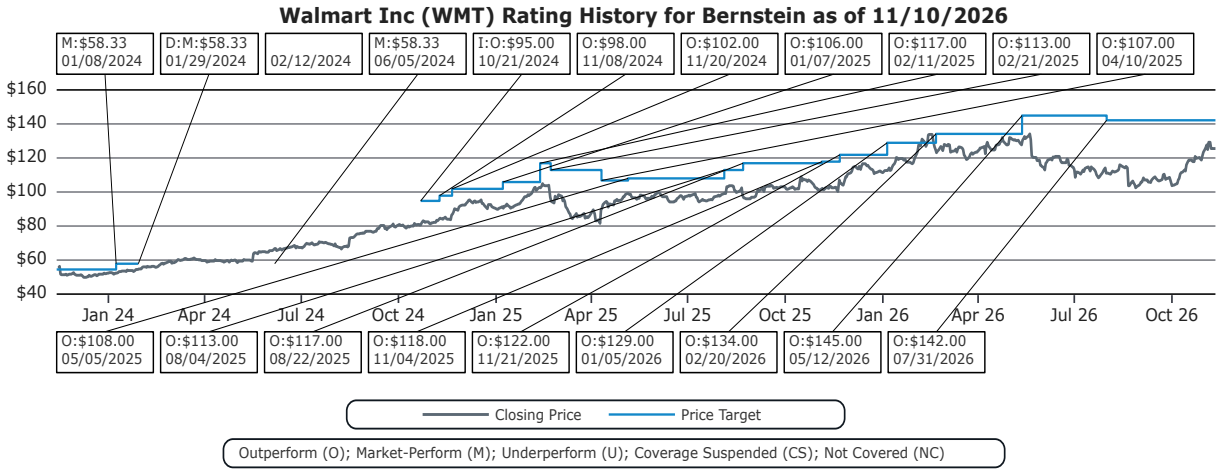
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

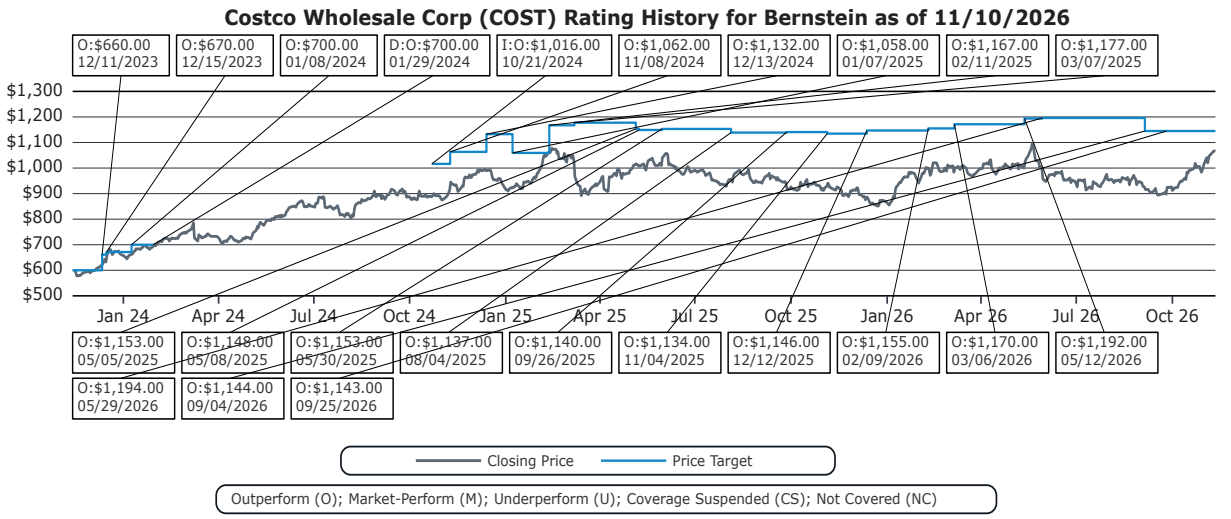
PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Apple Inc.





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All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

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Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Apple Inc.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Apple Inc and Costco Wholesale Corp.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Apple Inc and Costco Wholesale Corp.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Walmart Inc.

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The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

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+212 Société Générale Global Solution Center Morocco, Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

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